

Fearnleys Dry Bulk Weekly

Mar 4, 2026

Capesize/Newcastlemax

Iron ore consumption in China has increased to the highest level since late November. The South Atlantic tightness indicator shown below is still suggesting the market is basing for a rally.

Last year, 1.6% of total global Cape/Newc discharges passed the Strait of Hormuz. Loss of demand there could be balanced by increased global demand for coal.

Top left chart: Blast furnace output in China is still higher than the same period last year. Iron ore spot prices took a tumble over the last weeks, but the 90-110 usd per ton range seems to hold. The price drop caused a slight backwardation to develop in the front-month contracts. Spreads of higher-grade ores and pellets vs lower grades have widened over the last few weeks, indicating higher demand for the longer haul routes.

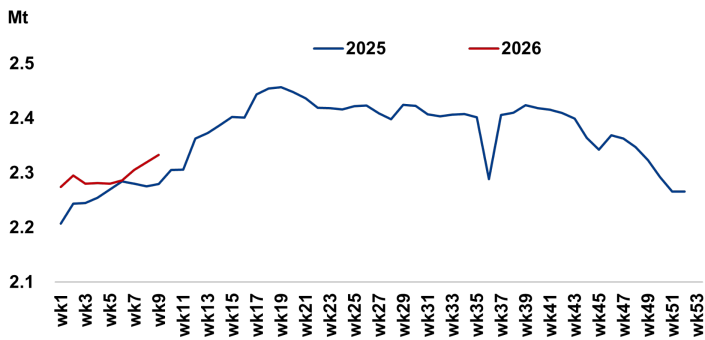
Top right chart: The laden/ballast ratio has turned up from the lows, and is now at the longer-term average ratio of 1.11. So, there is no clear market direction indicated by looking at that factor at the moment.

Bottom left chart: The South Atlantic tightness indicator remains very high, which still suggests the market is basing for a rally.

Bottom right chart: Second-hand values have kept rising to start this year, as suggested by the strength in the price of copper. Further upside is suggested in the next few months.

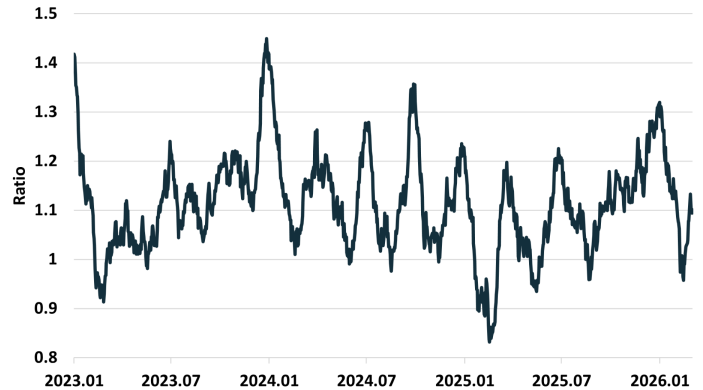
China Hot Metal Output - 2026 vs 2025

Average daily hot metal output

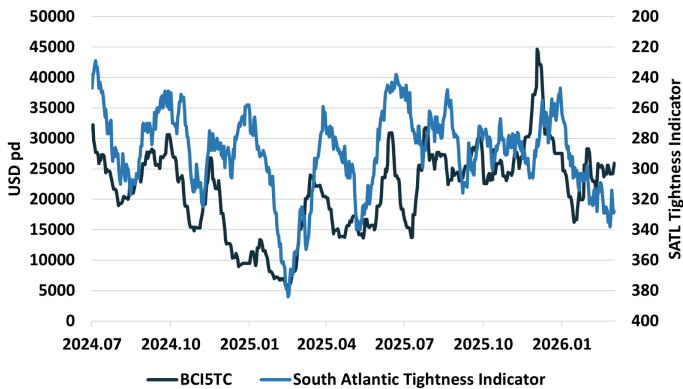


Source: Mysteel Data

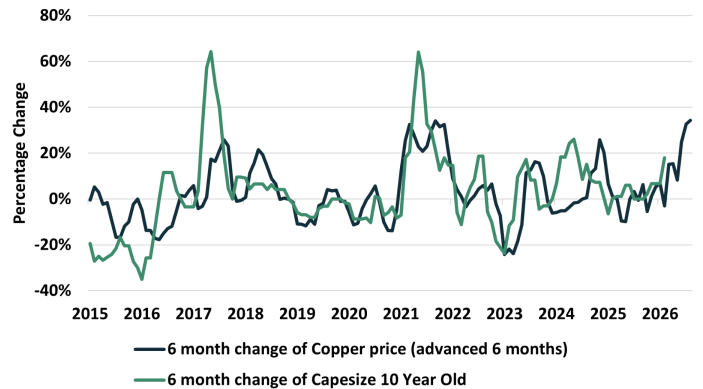
Laden/Ballast Ratio



C5TC 180 vs South Atlantic Tightness Indicator



Copper Price Lead vs Capesize 10-Year Old



Panamax/Kamsarmax

From the indicators below, it looks like the market will peak at some point this month. Since last week, coal prices have surged (the curve structure remains more or less unchanged, however), with increased global coal demand potentially counterbalancing the loss of 3.5% of global Panamax/Kamsarmax volume demand from the closure of the Strait of Hormuz.

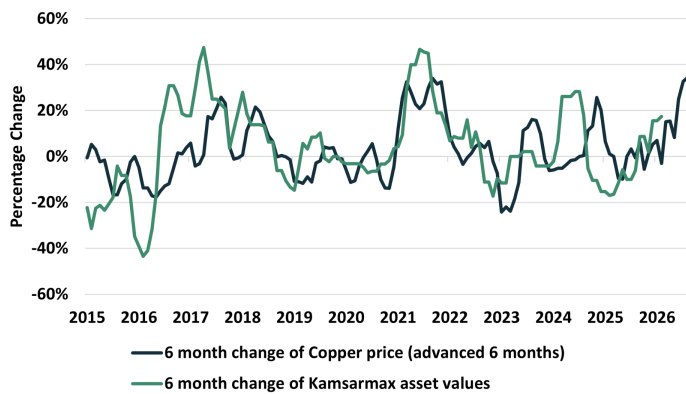
Top left chart: Second-hand values has kept rising to start this year, as suggested by the strength in the price of copper. Further upside is suggested in the next months.

Top right chart: Coal spot prices have increased significantly over the last week. The futures curve has whipsawed, with the initial price burst causing very wide backwardation in the front months. The curve has since adjusted, and the spreads are now similar to what it has been in the last months.

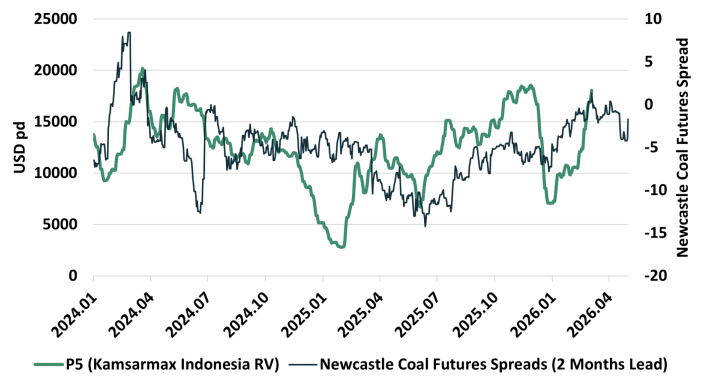
Bottom left chart: This indicator is constructed in the same way as the South Atlantic indicator. The indicator is suggesting the market could lose upwards momentum this month.

Bottom right chart: The SATL tightness indicator has dropped, which suggests upwards momentum will stall at some point this month (most likely the latter part of the month).

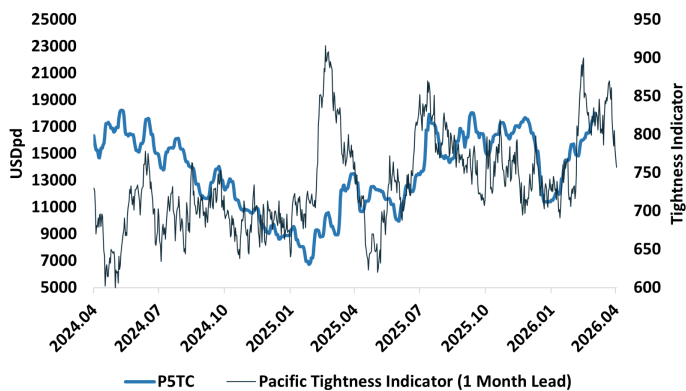
Copper Price Lead vs Kamsarmax 10-Year Old



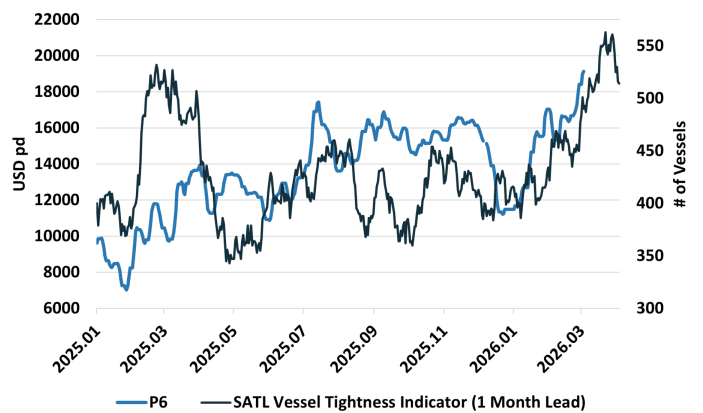
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



P5TC vs Pacific Vessel Tightness Indicator (Lead 1 Month)



P6 vs South Atlantic Vessel Tightness Indicator (Lead 1 Month)



Supramax/Ultramax

The below indicators suggest the market will keep rallying, with a potential loss of upward momentum in May/June. Last year, 2.6% of global Supra/Ultra discharges passed the Strait of Hormuz.

Top left chart: The three-month change in the price of copper has fallen noticeably, but as it is a leading indicator the market is still suggested to rally over the next 1-2 months.

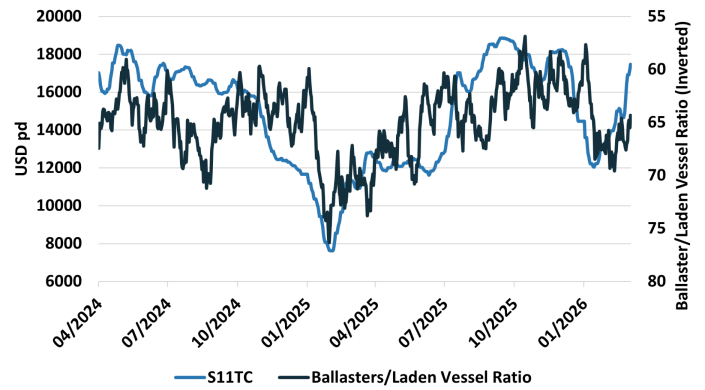
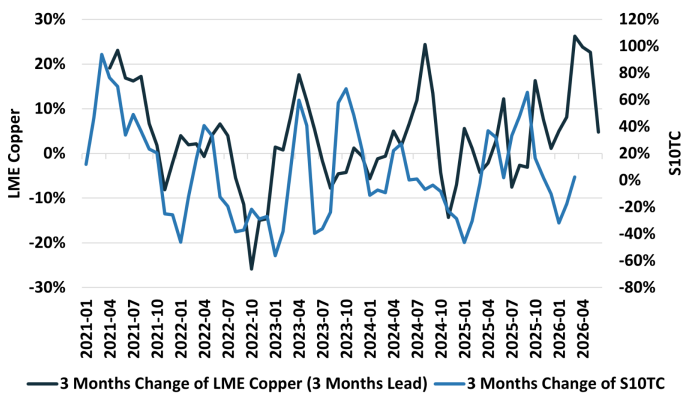
Top right chart: The chart compares the ballaster/laden vessel ratio against the S11TC index. A low ballaster/laden vessel ratio reflects a tighter market balance.

Bottom left chart: An industrial metals index including metals like Aluminium, Zinc and Nickel. This index has now surged passed the heights seen in Q1 2022. Can market levels climb to the same heights as back then, or even higher? We don't think so, but the highest *since* then is not unreasonable to expect.

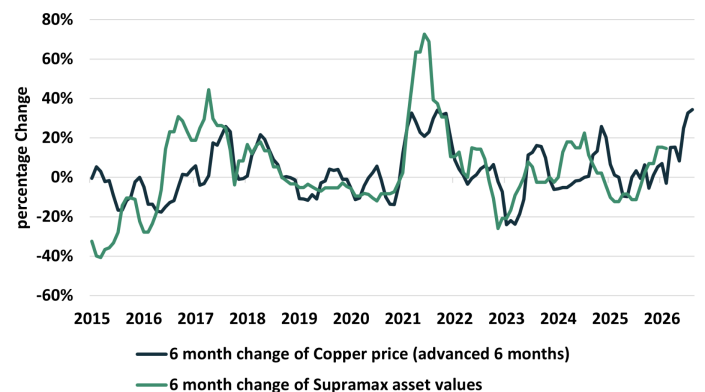
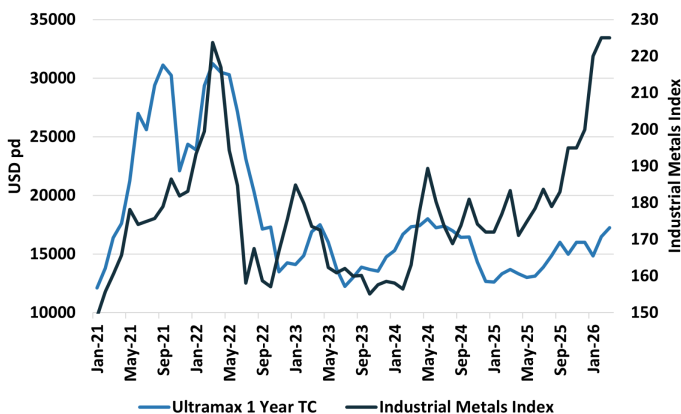
Another possibility is that since this index is showing signs of peaking, the 1-year TC rates are not far from peaking either.

Bottom left chart: Second-hand values have kept rising to start this year, as suggested by the strength in the price of copper. Further upside is suggested in the next months.

Copper Price 3 Months Change, 3 Months Lead S11TC vs Ballaster/Laden Vessel Ratio vs 3 Months Change of Supra 10TC



Industrial Metals Index vs Ultramax 1 Year TC Copper Price Lead vs Supramax 10-Year Old





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